CVS Group CVSG

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by HiddenInSight

			2026	2027
Price:	11.60	EPS	0	0
Shares Out. (in M):	71	P/E	0	0
Market Cap (in $M):	820	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	992	TEV/EBIT	0	0

Description

CVS Group ("CVS") is one of the largest vet clinic operators in the UK and Australia. The opportunity exists largely because of a regulatory overhang that is now complete, which we believe will allow CVS and the industry to return to its historical history of taking MSD pricing that was impossible while under regulatory scrutiny. We believe signs of the pricing environment improving are already clear in the industry, where multiple competitors have recently taken 5%-9% price increases. We think the company sees things similarly, and recently announced it would buy back 6% of the company over the next several months.

CVS has a starting valuation of just 8x forward EBITDA and 12x forward P/E, which we believe is due to like-for-like growth going below normal levels and concerns that the company's compounding/M&A potential had been capped, both largely from the CMA investigation and some from a weak UK consumer environment. This valuation is a large discount to CVS's own history and below the 12x-14x+ EBITDA multiple Australian comp, Apiam, was just acquired for. It is also materially below the EQT mark on industry behemoth IVC and its rumored target IPO valuation. Given we believe CVS can compound EBITDA and EPS at a teens rate for the next several years, we think this valuation is far too low. If our base case plays out, we believe there's 45%-60% upside in the stock in next 1-2 years, with substantial compounding potential after that.

Company Overview:

CVS Group has three segments, but they're all vertically integrated/connected to each other and almost all sales/EBITDA come from the Veterinary Practices ("vet clinic") segment. We'll primarily cover the vet clinic business in this overview because of this but will mention the other segments when relevant.

CVS's primary operations come from its vet clinic business, which largely treats companion animals (i.e. dogs/cats) in the UK and Australia. The lion's share of today's business (~90% of vet clinic sales and ~85% of vet clinic EBITDA) comes from the UK where the company was founded. CVS is the #3 player by clinic count in the UK and has an extensive service base of 400+ clinics, 40 out-of-hours/overnight clinics, and 9 referral hospitals. These clinics and hospitals provide preventative care, treatment for chronic conditions, acute procedures, and dispense medicine. CVS also operates a laboratory and online pet pharmacy business in the UK to capture a larger share of customer pet care spending, though these are not very material to sales/profits (11% of total sales and 7% of total segment EBITDA).

With the start of the CMA Investigation effectively freezing industry M&A in 2023, the company began acquiring vet clinics in Australia to build a second sustainable platform for future growth, which we believe it has done successfully. The company now has 50+ clinics in Australia and is the #4 player by clinic count in the country. While Australia only represents 11% of total sales, it's 16% of total segment EBITDA. Australia's higher margins come from an effort to buy clinics with a higher number of vets working at each location (usually 4-5 vets minimum), and from focusing on practices in affluent metros that can perform more complex procedures/treatments.

While there are modest differences to the industry by geography, the basic function and setup of the industry -- people taking their pets to clinics and hospitals for preventative care, acute procedures, and treatment for chronic conditions -- is the same in the regions CVS operates in and other parts of the world, such as Europe and North America.

Thesis Points:

1. **Regulatory actions from the recently concluded CMA investigation appear to have a minimal impact on CVS's forward-looking profitability.**

   In our view, the arguably biggest reason CVS's stock is nearly 50% below where it was in 2023 is due to fear that the company's profitability could be impaired by prospective regulatory outcomes from the announced CMA investigation into the vet industry. UK investors were especially concerned about this given somewhat recent memories of CMA regulatory changes in the funeral home space impairing Dignity's business.

   A vital point of distinction between this case and that of Dignity's is the price gap that existed between the biggest player and the rest of the market. Dignity was priced **63%** above independents and **20%** above their largest competitor for a relatively narrow service offering, so price transparency was a massive issue for their competitive position. In comparison, our work has led us to believe that CVS's prices are not materially different than their corporate competitors (if there's an outlier on high price we think it's IVC), and that the price gap between CVS/corporate vet groups and independents is both modest, and largely explained by the mix of larger players having a relative bias to more complex/higher value work that not all independent vets have the space or equipment for. We also believe that any price gap between corporate vets and independents could narrow as independent practices may end up raising prices substantially to cover admin/compliance costs for the new CMA rules, versus corporate vet groups that already have needed backend infrastructure in place.

   With the CMA's final rules now announced as of March 2026, it appears that impacts to CVS Group and other corporate vet groups are minimal. The nearly universal feedback we got from speaking to people in the industry was that there could be a modest shift in industry profit pools to be more balanced between medicine and services (current structure of profits largely being from medicine is an anomaly versus other geographies), but that on a net basis profits and margins should not be materially impacted by the CMA's regulatory changes.

2. **Like-for-like sales growth should begin to normalize from temporarily depressed levels.**

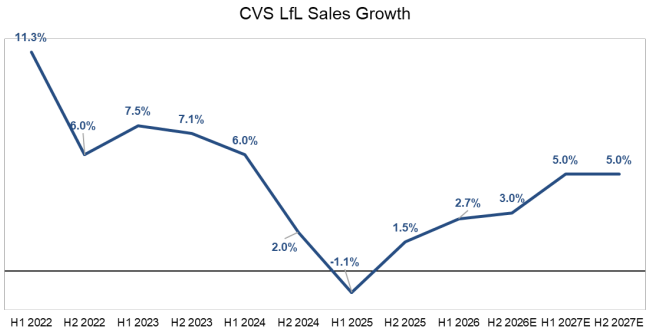
We believe like-for-like sales growth has been soft in the past two years due to price/mix constraints from the CMA investigation and a weak local macro environment putting pressure on preventative care in the UK. However, we believe that like-for-like sales are likely to continue normalizing to the company's 4%-8% target range as the CMA overhang dissipates, pricing returns to the industry and pet demographics become a tailwind for the next several years.

During the CMA investigation, CVS's price increases were minimal due to the public pressure and the scrutiny they were under in this period. This was a real negative to the business as cost inflation continued, and underlying margins were pressured as a result. With the CMA investigation concluding without regulatory price caps, CVS has communicated its intent to begin raising prices by at least 2%-3%/year to cover inflation in labor expenses and achieve some margin expansion.

We think the price/mix opportunity may be materially higher than this though. Our call work and review of competitors websites suggest that several other corporate vet groups increased their prices by 5%+ following the conclusion of the CMA investigation, and that many independent providers have raised their prices by a similar or higher amount. With the timing of CVS's price changes slated for July (start of next fiscal year), we believe the actions competitors have taken in the market indicate that the company could see price/mix growth above 2%-3%/year going forward.

We believe pet demographics will provide an additional tailwind. The size of puppy/kitten cohorts in 2020-2021 were up to 50%-75% above normalized levels. While great for the industry through 2022 this cohort has been a headwind to like-for-like growth in recent years. Annual vet spending is about 50% lower for a pet in years 2-7 of their lives compared years 1-2 due to the absence of start of life care (initial vaccines, spaying/neutering) and general good health in this age range. However, our work has led us to believe that annual vet spending for 7+ year old pets tends to 2-3x spend in their healthy years, due to the need to treat ailments/conditions that crop up as pets age. Our view is that the transition of this COVID cohort from a headwind to a tailwind may be a 100-200 bps boost to like-for-like sales in 2027-2030.

Some improvement has already shown up in results. Like-for-like growth improved to 2.7% in the July-December 2025 period, including a return to like-for-like growth in UK vet clinics. We believe this trend should continue.



Source: Company Filings, Numis Securities, Berenberg, Deutsche Bank, Our Estimates

3. **CVS should be able to resume M&A in the UK at much lower valuations than in the past**

Another point of investor concern was that CVS's growth potential could be impaired by the CMA limiting industry M&A activity in the UK. We instead believe that the company will be able to resume acquisitions at accretive valuations – historically 6-7x EBITDA with further upside from synergies post deal. The CMA specifically showed that 90%+ of UK markets have 4+ unique competitors, and 80%+ of UK markets have 5+ unique competitors. The feedback we've gotten from industry participants is that this lack of concentration means that M&A activity will be allowed to resume at a local level for the smaller corporate players.

We also believe valuations of M&A in the UK are set to be much more attractive than they were prior to the CMA's investigation. Before 2023, CVS and other corporate consolidators were consistently paying 10x+ EBITDA, and sometimes 15x+ EBITDA multiples to acquire UK clinics. In recent disclosures, however, CVS management has claimed it is expecting acquisition multiples to be to 5x-7x EBITDA in the UK going forward, and that they and one of the only other large bidders have recently been submitting offers in this valuation range.

A factor impacting the valuation reset in the UK is that the number of corporate bidders for local clinics is likely to be less than it was before the CMA investigation, with just two or three large players being buyers today, in our view. It appears that IVC and VetPartners may be too concentrated to do more deals, Vets4Pets operates under a JV model in their own stores, and Medivet may have pivoted to a JV/greenfield approach to growth. CVS's balance sheet also makes it more able to conduct M&A relative to UK peers. While CVS's net leverage is around 1.5x today, Companies House data shows that most other corporate vet groups in the UK are 6x-10x+ levered, constraining their ability to acquire more clinics.

Our conversations with industry participants indicated that transactions of independent vets passing down their clinics to successors have been occurring at 6x EBITDA during the CMA investigation, and that expectations are for deal multiples to be at 7x EBITDA or less going forward. This is more in-line with what the company sees in Australia, where bidding competition is similarly limited to 2-3 large buyers. Despite CVS's valuation being low versus historical norms and comps, these multiples make M&A in the UK accretive for the company, and there's an ample backlog of independent clinic owners that want to exit but haven't been able to in the past three years because of the CMA investigation. Because of this, we believe the company can acquire 500bps-1000bps/year of additional EBITDA at prices below their own trading multiple for the next several years, which we view as an attractive use of capital.

What It's Worth:

We think CVS Group has 45%-95% upside as its fundamentals improve and investors come to appreciate that the CMA hasn't impaired the company's profits or ability to do acquisitions in the UK.

In our base case scenario, we apply an 11x NTM multiple to our version of 2027 Adj. EBITDA, which dings EBITDA for lease expenses, CapEx on intangible assets, and non-controlling interest share of EBITDA. We assume EBITDA margins for the base business can recover to 16% and that like-for-like growth normalizes around 5%. We also assume some level of M&A at 8.5x EBITDA multiples when excluding leases, above the company's claimed multiple for deals. In this scenario, we get a share price of £17.12, about 48% above where the stock trades today.

In an upside scenario we apply a 13x NTM multiple to 2027 Adj. EBITDA, assume EBITDA margins for the base business improve to 16.5%, that like-for-like growth is a higher 7%, and that a modestly higher level of M&A occurs given increased cash flow in this scenario. Our bear case applies an 8x NTM multiple Adj. EBITDA. We assume EBITDA margins for the base business contract to 14%, that organic growth is about flat, that no M&A occurs, and that half of the company's R&D tax credit is eliminated. Our upside and downside scenarios imply price targets of £22.72 (+96%) and £8.84 (-24%) respectively.

	Case		
	'26 Bear	'27 Base	'27 Bull
EBITDA	$95.3	$131.1	$141.6
Times: Multiple	8.0x	11.0x	13.0x
Enterprise Value	**$762.7**	**$1,441.7**	**$1,841.3**
Less: Net Debt	(171.6)	(268.3)	(268.3)
Plus: 1-Year Cash Flow	33.3	42.3	44.9
Market Equity Value	**$624.3**	**$1,215.7**	**$1,617.9**
Divide: FDSO	70.6	71.0	71.2
Price Per Share	**$8.84**	**$17.12**	**$22.72**
Implied Prem. / (Discount)	*(23.8%)*	*47.6%*	*95.9%*

Source: Our Estimates

Our opinion is that recent and upcoming industry transactions serve to underpin the valuation assumptions in our base and upside cases. In February of this year, a direct competitor to CVS's Australia business, Apiam Animal Health, was acquired by a PE firm for 12.5x Adjusted EBITDA when excluding leases. This is a far higher multiple than where CVS currently trades despite our call work and analysis revealing CVS's Australia business to be of higher quality and earn higher margins than Apiam. Furthermore, the UK's largest vet company, IVC, is reportedly planning to IPO this year. Our work leads us to believe that EQT is trying to list the business at a teens EBITDA multiple which, if successful, would emphasize the valuation gap that exists in CVS's shares today. We believe EQT currently has this asset marked at 20x a heavily adjusted run rate EBITDA.

Recent Activism:

We'd be remiss to conclude this write-up without mentioning the recent open letter sent by Converium to the company. In our view, some of the issues raised are merely communication issues around the company's capital allocation framework. Management and the board have said that they only want to acquire clinics when multiples are below that of their own stock and would be willing to buy back shares in cases where their own shares trade at a similar or lower multiple to that of deals on the market. A track record of doing the latter portion is sparse however, so we are supportive of better communication and some action for them to prove they mean what they say.

Regarding CapEx, the company has spent a lot on growth CapEx via equipment, UK clinic renovations/relocations, and now tech (websites, practice management software) in the past several years. While FY25 CapEx had fallen to lower levels, it's still somewhat above their peer group average, and it's not immediately clear what returns this growth CapEx has earned. We believe that some level of increased discipline alongside publicly communicating their hurdle rates/policies for CapEx would be helpful.

On May 25th the company publicized an update to its capital allocation framework which included the authorization of a £50M share buyback program that it expects to conclude by November. The company has already repurchased ~600,000 shares through June 12th.

Key Risks:

R&D tax credit - CVS started receiving R&D tax credits under UK law in fiscal 2021, and this has grown to be a £15M EBITDA contributor in the LTM period. This is for research/exploratory procedure work done by vets in specialist hospitals or in their education for specialist certifications, and CVS gets reimbursed 20% of applicable costs under current rules. This creates an element of tail risk around ~10% of EBITDA if a UK regulatory/tax change ends this credit or excludes vets. The last regulation change was an increase in the share of spend applicable under this credit, but anything can happen in the future. We don't believe that CVS is overclaiming benefits from this credit as their claim rate appeared in line with other corporate vets that have specialist hospitals when reviewing Companies House data.

CMA impacts are worse than expected - While our opinion is that the CMA's new rules won't materially impact CVS, it's possible we're incorrect about this. CVS and other operators could see their profitability harmed if they're unable to materially change prices or face unexpected pressure from adapting to certain changes, such as the shift in industry value to be more balanced between services and medicine.

Bidding competition makes M&A challenging - CVS's M&A driven growth relies on prevailing multiples for individual clinics to be below that of their own shares. If bidding competition is higher than we expect in the UK, multiples could return to prior 10x+ levels which would make acquisitions unattractive given the company's current valuation. Additionally, it's possible that bidding competition in Australia increases (Apiam was just acquired and their new PE owner wants to buy more clinics) which could make deals in that country less attractive too.

Macro remains worse than expected - A weak macro in the UK has pressured spending on preventative vet care. To the extent this remains the case, or that the macro in Australia worsens and like-for-like growth remains depressed, we could envision the share price continuing to struggle.

Important Disclaimers:

Although, as of the publication date of this report, the author has long positions in CVS and stands to realize gains in the event the stock price increases, you should not assume that any investment in CVS was or will be profitable. Following publication of the report, the author may transact in securities of CVS. This report does not constitute advice on whether the recipient should buy or sell CVS now or in the future. The author's decision to invest or divest – in whole or in part – of its investment in CVS are based on numerous considerations not discussed herein, including but not limited to the composition of its entire portfolio and the portfolio's specific investment objectives and limits. All content in this report represents the opinions of the author who has obtained all information within this report from sources they believe to be accurate and reliable. However, such information is presented "as is," without warranty of any kind – whether express or implied. No representation or warranty is made or given with respect to the achievement or reasonableness of projections, targets, prospects or returns, if any. In furnishing this presentation, the author does not undertake any obligation to provide the recipient with access to any additional information or to update the information contained herein.

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Catalyst

- Operating results continue to improve

- Demonstrates ability to conduct M&A in the UK at reasonable multiples

- Successful IPO of IVC or another competitor at a higher valuation

Messages

No messages